

Caso 3: GYMCO

Prompt

- Your client is an international chain of fitness centers, operating in sub-saharan africa, Europa and southeast asia.
- GymCo missed its 2013 growth target of ZAR600M.
- The CEO would like you to investigate what’s going on.

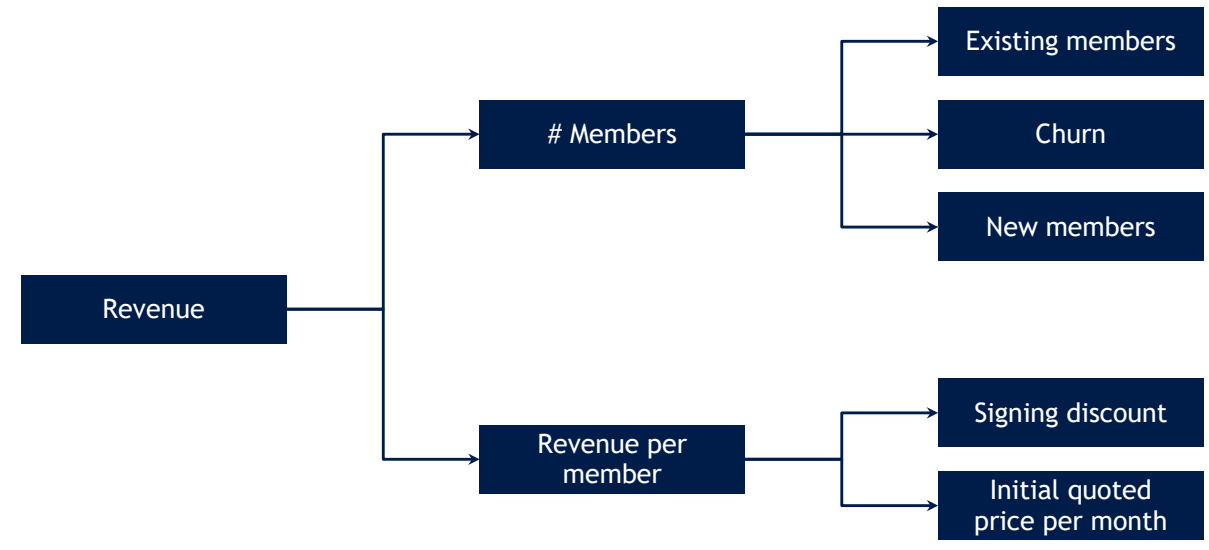
Clarifying Points (if asked only)

- There are 2 major gym chains, GymCo has 60% market share, Fitness Co has 30%, and a few small chains the remaining 10%
- GymCo members pay a monthly membership fee of ~ZAR700 pm
- Market trends are in favor of gyms - consumers are switching to have more healthy habits
- There are a few smaller competitors that have recently entered the market - these are smaller gyms offering more classes, with less focus on free weights and cardio sections

- No other competitors have notices any decline in revenues; in fact, they have had strong increases over the past 12 months

Interviewer guidance - Structure

Structure example



Expected takeaways from Exhibit (to guide interviewer)

- Number of members is increasing, but revenue is not increasing by the same rate - therefore revenue per member must be decreasing.
- I see that churn and number of new members jump up as revenue starts declining (early 2013), did a lot of people leave and rejoin for some reason? I'd like to explore that more.
- The overall takeaway is that it seems that we offered some sort of discount package that cause more people to join/rejoin.

Further information for candidate (if asked only)

- Yes, indeed - GymCo partnered with a big health insurer (HealthCo) in 2012, where they would offer 40% off to HealthCo members - the intention was no increase sign-ups (normal price ZAR 700 pm, HealthCo price ZAR 400 pm).

- However, during 2013, GymCo management started noticing that some members were leaving the Gym, switching healthcare providers to HealthCo, and rejoining at the new discount rate; The estimation is that 50% of people who left the gym during 2013, rejoined at the lower rate.
- Effectively, GymCo was now making less revenue from its existing members, and only some new revenue from sign-ups.

Assessment of contract analysis

GymCo CEO wants to know the real financial impact of the contract-has it been beneficial? If not, how much has GymCo lost as a result?

Expected consideration

Use this to prompt candidate and frame calculation.
In order to assess the decision, we need to consider the incremental revenues from the contract

- Additional revenues:
brand new members who joined because of the discount, and would have not joined without the discount
- Foregone revenues:
of existing members who switched to the HealthCo discount (i.e. who would have paid ZAR700, but now only pay ZAR400)
of new members who joined Health Co discount who would have joined at a full price irrespective of the discount.

Provide Exhibit 2 when the candidate points out the above considerations. If they do not explain above, explain it to them and then provide them with Exhibit 2

Calculation

How much revenue is GymCo foregoing from existing members that are switching providers?

We need to segment the # of new HealthCo members into three groups:

Group 1: those that were existing members who rejoined

Group 2: those who would have joined anyway, regardless of discount

Group 3: those that are completely new members, joining as a result of discount

Group 1: # existing members who joined = 200K

Lost revenue = 200K (700-400) pm * 12 months (since they all rejoined at the start of the year) = ZAR720M revenue foregone.

Group 2: # of HealthCo members who would have joined GymCo irrespective of the deal = 475K – 200K (existing GymCo members) = 275K * 30% = 82.5K

Revenue foregone on these members who would have joined anyway = 82.5K * (700-400) * 6 months (average duration, assuming joining throughout the year) = ZAR297M revenue foregone.

Group 3: # of members acquired as a result of HealthCo deal = 475K – 200K (existing GymCo members) – 82.5K = 192.5K new members.

Additional revenue = 192.5 * ZAR400 pm (HealthCo rate) * 6 months (average duration, assuming joining throughout the year) = ZAR462M

Therefore additional revenue of ZAR465M minus foregone revenue of ZAR1017M (297M + 720M) = net negative effect of 555M. The contract is very detrimental to GymCo.

Expected Insight:

Furthermore, the impact in 2013 seems to have been even greater, and this contract with HealthCo is putting strain on GymCo's business model – too much reliance on HealthCo for new members, unable to get new members organically. Therefore, GymCo should try and renegotiate or cancel the contract.

What should GymCo do?

What are the options available with regards to the contract?

Example response (to guide interviewer)

- Get out of the deal with HealthCo
- Reduce the discount that HealthCo is giving members
- Change policies to prevent members from rejoining for a certain period (e.g. 12 months) if they have left the gym.

Option	Benefits	Drawbacks
Get out of the deal	No loss in revenue due to no more switching	- Potential loss in future # of clients - What to do about existing discounted members? If we charge full price, they might leave
Reduce discount	- Discourage switching - Still incentive for brand new members to join	- Likely reduced # of new members - What to do about existing discounted members? If we charge full price, they might leave
Change policy	No impact on # of new sign-ups	Long-term, perverse incentive still exists
Change to limited offer (i.e. discount only lasts for first 6 months)	Likely to get same number of new sign-ups	Discounted clients might leave at the end of the discounted period

Anexo Caso GYMCO

if the interviewee asks for the revenue and/or members volume handle out exhibit 1.

Sample Recommendation

- GymCo is currently in a very onerous contract with HealthCo, and it should cancel it. The contract was having a negative impact of ZAR555M per annum
- Furthermore, this contract places too much reliance on and gives too much power to HealthCo
- GymCo should find a way to get new members organically, while retaining existing HealthCo members
 - Offering discounts for yearly subscriptions
 - Marketing ideas
 - Offering competing classes (to compete with smaller gyms)
 - Promotions on new members (bags/towels etc)
 - In order to decide on the best strategy, I would like to quantify the above option (cost vs. benefit)

GYMCO
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Exhibit 1: Revenue and # Members over time

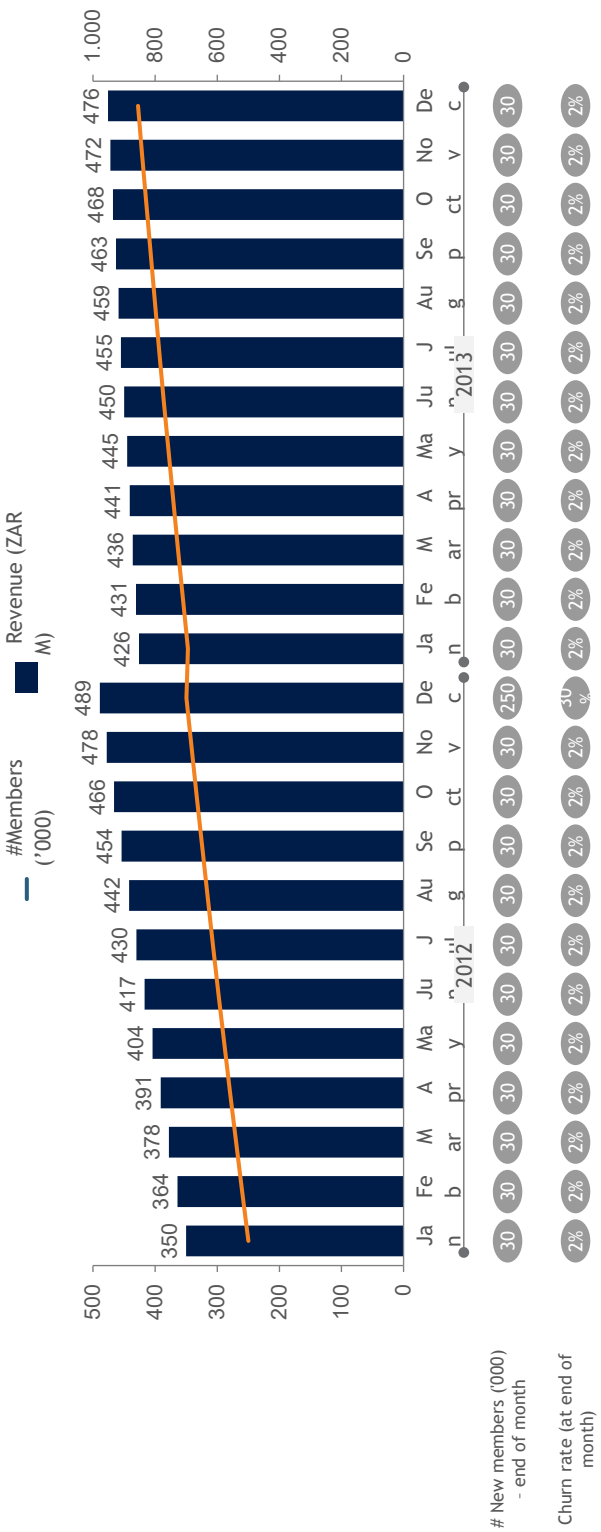


Exhibit 2

2013 figures - (all figures in '000)	2013
# Normal members at start of year	699
# Normal members joining during year	60
# Normal members leaving during year	313
# Normal members at end of year	446
# HealthCo discount members at start of year	0
# New HealthCo discount members during year	475
# HealthCo discount members leaving during year	66
# HealthCo Discount members at end of year	409

Calculation info

- Normal members pay ZAR700 pm, HealthCo discount members pay ZAR400 pm
- At the start of 2013, 200k normal members left and rejoined with HealthCo discount (i.e. they would be wiling to pay the full price, but rejoined to get the ZAR400 discount)
- Of the brand new sign-ups, 30% would have joined GymCo at full price anyway (irrespective of the discount, i.e. they would have paid ZAR700 pm instead of the discounted ZAR400 pm)

Virtus Partners



Virtus Partners es una consultora estratégica con foco en América Latina, donde trabaja con algunas de las mayores compañías de la región resolviendo sus desafíos más complejos y ayudándolas a transformarse de cara al futuro.

Bajo el lema “Transformamos personas para potenciar negocios”, sus proyectos se caracterizan en que toda solución técnica siempre es acompañada de una solución adaptativa que la haga posible, entendiendo que el principal motor de todo proceso de cambio son las personas.

Sus áreas de práctica son Estrategia, Personas y Organización, Estrategia y Ejecución Digital, Excelencia Operacional y Owners Consulting las que atiende desde un abordaje multidisciplinario que incluye expertos en negocios, data, tecnología, psicología y diseño, entre otros.

Caso 1: Aseo Hotel

Contexto

- Un importante empresario, retirado de la gestión de sus empresas, se irá a vivir al sur y comenzará a operar un hotel propio
- La operación comenzará en las próximas semanas por lo que está afinando algunos temas finales de la proyección económica que hizo
- Un tema central de los *economics* y de la calidad de la atención a los clientes es el servicio de aseo y, por lo tanto, necesita ayuda para estimar el costo de la mano de obra de aseo para entregar un buen nivel de servicio
- ¿Cómo ayudamos al empresario?